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CUET UG

Accountancy

Analysis of Financial Statements

Official Syllabus Unit V · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment & Exam Blueprint

Sub-topic	Official syllabus pointer (NTA CUET(UG) Accountancy 301, Unit V)	Skills the questions test
Financial Statements Structure	Financial statements of a company: Balance sheet and Statement of Profit and Loss in the prescribed form with headings and sub-headings (as per Schedule III to the Companies Act, 2013)	Identifying major heads and sub-heads of items under Schedule III Part I and Part II.
Financial Statement Analysis	Financial statement analysis: Objectives, importance, limitations; Tools for financial statement analysis	Distinguishing horizontal and vertical analysis; evaluating qualitative limitations.
Comparative & Common-Size	Comparative statements, common-size statements	Computing absolute and percentage changes; identifying correct bases for common-size statements.
Accounting Ratios	Accounting Ratios: Meaning, objectives, classification and computation: Liquidity Ratios, Solvency Ratios, Activity Ratios, Profitability Ratios	Calculating ratios; analyzing the impact of transactions on ratios; applying ideal benchmarks.
Cash Flow Statement	Cash Flow Statement: Meaning, objectives and preparation as per AS 3 (Revised) (Indirect Method only)	Classifying cash flows into Operating, Investing, and Financing; computing NPBT; handling tax & dividends.

EXAM PATTERN

CUET UG Exam Blueprint: Unit V carries 8–12 questions (40–60 marks) in the CUET UG Accountancy exam. High-yield focal points include: (1) Schedule III heads and sub-heads (e.g., Loose Tools, Calls-in-Advance, Premium on Redemption), (2) Master identity: Operating Ratio + Operating Profit Ratio = 100%, (3) Effect of transactions on Current Ratio and Debt-Equity Ratio, (4) Treatment of Proposed Dividend and Provision for Tax in Cash Flow Statements, and (5) Classification of Bank Overdraft / Cash Credit as a Financing Activity under AS-3.

1. Financial Statements of a Company: Schedule III Architecture

Under Section 129(1) of the Companies Act, 2013, financial statements must give a true and fair view of the state of affairs and comply with Accounting Standards and Schedule III.

Structure of the Balance Sheet (Schedule III Part I)

The Balance Sheet follows a strict vertical format with two principal divisions:

1. **Division I: Equity and Liabilities:**
   - **Shareholders' Funds:** (a) Share Capital (Authorised, Issued, Subscribed), (b) Reserves and Surplus (Capital Reserve, Securities Premium, General Reserve, Surplus i.e., Balance in Statement of P&L), (c) Money received against share warrants.
   - **Share Application Money Pending Allotment:** Shown as a separate major head.
   - **Non-Current Liabilities:** (a) Long-term borrowings (Debentures, Bonds, Term Loans), (b) Deferred tax liabilities (Net), (c) Other long-term liabilities (Premium on redemption of debentures/preference shares), (d) Long-term provisions (Gratuity, Leave encashment).
   - **Current Liabilities:** (a) Short-term borrowings (Bank Overdraft, Cash Credit, Short-term loans), (b) Trade payables (Sundry Creditors, Bills Payable), (c) Other current liabilities (Current maturities of long-term debt, Interest accrued, Unpaid dividend, Calls-in-Advance), (d) Short-term provisions (Provision for Tax).
2. **Division II: Assets:**
   - **Non-Current Assets:** (a) Property, Plant & Equipment and Intangible Assets (Plant, Land, Goodwill, Patents, Software), (b) Non-current investments, (c) Deferred tax assets (Net), (d) Long-term loans and advances.
   - **Current Assets:** (a) Current investments (Marketable securities), (b) Inventories (Raw materials, WIP, Finished goods, Stock-in-trade, Loose tools, Stores & spares), (c) Trade receivables (Debtors, Bills Receivable), (d) Cash and cash equivalents (Cash in hand, Bank balance, Cheques/drafts on hand), (e) Short-term loans and advances, (f) Other current assets (Prepaid expenses, Accrued income).

Structure of the Statement of Profit and Loss (Schedule III Part II)

```
I.   Revenue from Operations (Gross Sales less Returns/Excise)
II.  Other Income (Interest/Dividend received, Gain on sale of assets)
III. Total Revenue (I + II)
IV.  Expenses:
     - Cost of Materials Consumed | Purchases of Stock-in-Trade
     - Changes in Inventories of Finished Goods, WIP and Stock-in-Trade
     - Employee Benefit Expenses (Salaries, Wages, PF contribution)
     - Finance Costs (Interest on borrowings, Bank charges)
     - Depreciation and Amortisation Expenses | Other Expenses
V.   Profit Before Tax (III - IV)
VI.  Tax Expense (Current Tax + Deferred Tax)
VII. Profit After Tax (V - VI)
```

2. Tools of Financial Statement Analysis

Financial statement analysis is the critical evaluation of financial statements to assess the operating performance, profitability, solvency, and growth potential of an enterprise.

Comparative Statements (Horizontal / Dynamic Analysis)

Comparative statements review two or more successive accounting periods side by side, measuring absolute and relative changes across individual line items.

Particulars	Previous Year (A)	Current Year (B)	Absolute Change (C = B − A)	% Change (D = C/A × 100)
Revenue from Operations	10,00,000	12,50,000	+2,50,000	+25.00%
Cost of Materials Consumed	5,00,000	6,00,000	+1,00,000	+20.00%
Other Expenses	1,00,000	1,50,000	+50,000	+50.00%
Total Expenses	6,00,000	7,50,000	+1,50,000	+25.00%
Profit Before Tax (PBT)	4,00,000	5,00,000	+1,00,000	+25.00%
Tax Expense @ 30%	1,20,000	1,50,000	+30,000	+25.00%
Profit After Tax (PAT)	2,80,000	3,50,000	+70,000	+25.00%

Common-Size Statements (Vertical / Static Analysis)

Common-size statements convert each individual figure into a percentage of a common base, enabling direct cross-firm and intra-firm comparisons.

- **Common-Size Balance Sheet:** The base (100%) is strictly **Total Assets** (or **Total Equity & Liabilities**). Each asset is expressed as

$$\left(\frac{\text{Asset Value}}{\text{Total Assets}}\right) \times 100$$

.

- **Common-Size Income Statement:** The base (100%) is strictly **Revenue from Operations** (Net Sales). Each revenue and expense line is expressed as

$$\left(\frac{\text{Item Amount}}{\text{Revenue from Operations}}\right) \times 100$$

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CUET HIGH-FREQUENCY BASE TRAP

In a Common-Size Income Statement, **Other Income** and **Total Revenue** are NEVER used as the base! The base is ALWAYS **Revenue from Operations (Net Sales)**.

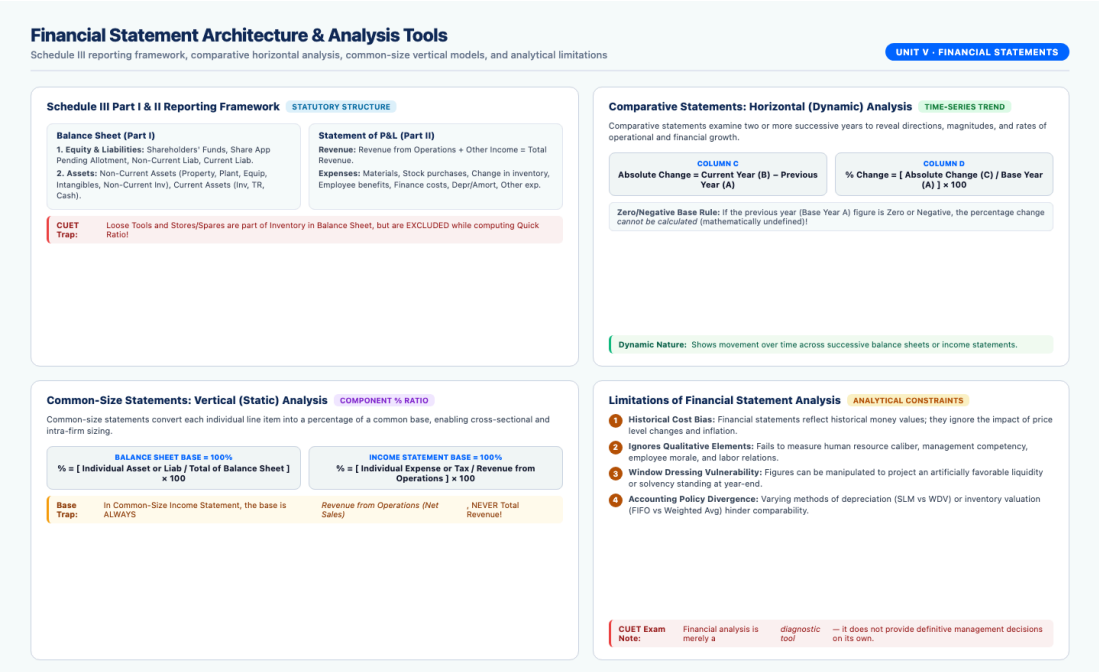


Figure 1: Financial Statement Architecture: Schedule III structure, comparative analysis, and common-size vertical models.

3. Significance & Limitations of Financial Statement Analysis

While financial statement analysis serves shareholders, creditors, debenture-holders, and management in evaluating solvency and performance, it is subject to severe inherent constraints:

1. **Historical Cost Limitation:** Financial statements reflect past historical transactions. They completely ignore the effects of price-level changes, inflation, and purchasing power erosion.
2. **Exclusion of Qualitative Elements:** Financial statements capture only events measurable in monetary units. Crucial non-monetary assets—such as management competence, employee technical skills, labor harmony, and brand reputation—are omitted.
3. **Vulnerability to Window Dressing:** Management may disguise true financial standing through aggressive year-end maneuvers (e.g., holding books open, postponing repairs, recording premature credit sales) to artificially flatter Current or Solvency Ratios.
4. **Subjectivity and Divergent Accounting Policies:** Different depreciation methods (Straight-Line vs Written Down Value) and inventory valuation methods (FIFO vs Weighted Average) impair inter-firm comparability.
5. **Static Nature of Year-End Figures:** A balance sheet represents a snapshot of a single date, which may not reflect typical operating conditions during the year.

4. Accounting Ratios I: Liquidity & Solvency Ratios

An accounting ratio is a mathematical expression of the relationship between two interrelated accounting figures taken from the financial statements.

Liquidity Ratios (Short-Term Solvency)

Liquidity ratios measure the enterprise's ability to satisfy its immediate short-term obligations as they fall due.

1. **Current Ratio (Working Capital Ratio):**

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}} \qquad [\text{Ideal Benchmark: } 2:1]$$

   - **Current Assets (CA):** Current Investments + Inventories (excluding Loose Tools and Stores & Spares) + Trade Receivables (less Provision for Doubtful Debts) + Cash & Cash Equivalents + Short-Term Loans & Advances + Other Current Assets.
   - **Current Liabilities (CL):** Short-Term Borrowings + Trade Payables + Other Current Liabilities + Short-Term Provisions.

2. **Quick Ratio (Acid-Test / Liquid Ratio):**

$$\text{Quick Ratio} = \frac{\text{Quick Assets}}{\text{Current Liabilities}} \qquad [\text{Ideal Benchmark: } 1:1]$$

$$\text{Quick Assets} = \text{Current Assets} - \text{Inventories} - \text{Prepaid Expenses}$$

Solvency Ratios (Long-Term Solvency & Leverage)

Solvency ratios assess the firm's ability to service long-term debt and repay principal on maturity.

1. **Debt-Equity Ratio:**

$$\text{Debt-Equity Ratio} = \frac{\text{Long-Term Debt}}{\text{Shareholders' Funds}} \qquad [\text{Ideal Benchmark: } 2:1]$$

   - **Long-Term Debt:** Long-Term Borrowings + Long-Term Provisions (excludes Current Liabilities).
   - **Shareholders' Funds:** Equity Share Capital + Preference Share Capital + Reserves & Surplus − Fictitious Assets.

2. **Total Assets to Debt Ratio:**

$$\text{Total Assets to Debt Ratio} = \frac{\text{Total Assets}}{\text{Long-Term Debt}}$$

3. **Proprietary Ratio:**

$$\text{Proprietary Ratio} = \frac{\text{Shareholders' Funds}}{\text{Total Assets}} \qquad [\text{Indicates proportion of assets funded by owners}]$$

4. **Interest Coverage Ratio (Times):**

$$\text{Interest Coverage Ratio} = \frac{\text{Net Profit Before Interest and Tax (EBIT)}}{\text{Fixed Interest Charges}}$$

5. Accounting Ratios II: Activity / Turnover Ratios

Activity ratios measure the operational velocity and efficiency with which an enterprise employs its assets to generate revenue.

Key Activity / Turnover Ratios & Formulas

1. **Inventory Turnover Ratio (ITR):**

$$\text{Inventory Turnover Ratio} = \frac{\text{Cost of Revenue from Operations (COGS)}}{\text{Average Inventory}} \quad \text{[Expressed in Times]}$$

$$\text{Cost of Revenue from Operations} = \text{Revenue from Operations} - \text{Gross Profit}$$

$$\text{COGS} = \text{Opening Inventory} + \text{Net Purchases} + \text{Direct Expenses} - \text{Closing Inventory}$$

$$\text{Average Inventory} = \frac{\text{Opening Inventory} + \text{Closing Inventory}}{2}$$

$$\text{Average Age of Inventory} = \frac{365 \text{ days or } 12 \text{ months}}{\text{Inventory Turnover Ratio}}$$

2. **Trade Receivables Turnover Ratio (TRTR):**

$$\text{Trade Receivables Turnover Ratio} = \frac{\text{Net Credit Revenue from Operations}}{\text{Average Trade Receivables}}$$

$$\text{Average Trade Receivables} = \frac{\text{Opening Debtors \& B/R} + \text{Closing Debtors \& B/R}}{2} \quad \text{[Before deducting Provision]}$$

$$\text{Debt Collection Period} = \frac{365 \text{ days or } 12 \text{ months}}{\text{Trade Receivables Turnover Ratio}}$$

3. **Trade Payables Turnover Ratio (TPTR):**

$$\text{Trade Payables Turnover Ratio} = \frac{\text{Net Credit Purchases}}{\text{Average Trade Payables (Creditors \& B/P)}}$$

$$\text{Average Payment Period} = \frac{365 \text{ days or } 12 \text{ months}}{\text{Trade Payables Turnover Ratio}}$$

4. **Working Capital Turnover Ratio:**

$$\text{Working Capital Turnover Ratio} = \frac{\text{Revenue from Operations}}{\text{Working Capital (Current Assets - Current Liabilities)}}$$

TURNOVER & COLLECTION PERIOD COMPUTATION

Data: Credit Revenue from Operations: ₹12,00,000; Cash Revenue: ₹3,00,000; Closing Debtors: ₹1,60,000; Excess of Closing Debtors over Opening Debtors: ₹40,000; Provision for Doubtful Debts: ₹10,000.

- **Opening Debtors:** $₹1,60,000 - ₹40,000 = ₹1,20,000$.
- **Average Debtors:** $\frac{₹1,20,000+₹1,60,000}{2} = \mathbf{₹1,40,000}$ (Provision is ignored!).
- **Trade Receivables Turnover:** $₹12,00,\frac{000}{₹}1,40,000 = \mathbf{8.57 \text{ times}}$.
- **Collection Period:** $\frac{365}{8.57} = \mathbf{42.59 \text{ days}}$.

6. Accounting Ratios III: Profitability Ratios & Returns

Profitability ratios measure the operational efficiency and overall earning power of the business relative to revenue and capital employed.

Margin and Return Ratios

1. **Gross Profit Ratio:**

$$\left(\frac{\text{Gross Profit}}{\text{Net Revenue from Operations}}\right) \times 100$$

2. **Operating Ratio (Cost Ratio):**

$$\left[\frac{\text{Cost of Revenue from Operations} + \text{Operating Expenses}}{\text{Net Revenue from Operations}}\right] \times 100$$

   - **Operating Expenses:** Employee benefits + Depreciation/Amortisation + Admin & Selling expenses (excludes Finance costs and Tax).

3. **Operating Profit Ratio:**

$$\left(\frac{\text{Operating Profit}}{\text{Net Revenue from Operations}}\right) \times 100$$

$$\text{Operating Profit} = \text{Net Revenue from Operations} - \text{Operating Cost (COGS + Operating Expenses)}$$

THE GOLDEN ACCOUNTING IDENTITY: OPERATING RATIO VS OPERATING PROFIT RATIO

Because Total Revenue comprises Operating Cost and Operating Profit:

$$\textbf{Operating Ratio} + \textbf{Operating Profit Ratio} = \textbf{100\%}$$

(e.g., Operating Ratio 76% implies Operating Profit Ratio 24%).

4. **Net Profit Ratio:**

$$\left(\frac{\text{Net Profit After Tax}}{\text{Net Revenue from Operations}}\right) \times 100$$

5. **Return on Investment (ROI) / Return on Capital Employed (ROCE):**

$$\text{ROI} = \left(\frac{\text{Net Profit Before Interest, Tax and Dividends (EBIT)}}{\text{Capital Employed}}\right) \times 100$$

   - **Capital Employed:** Shareholders' Funds + Long-Term Debt (or Non-Current Assets + Working Capital).

Impact of Common Transactions on Ratios

- **Current Ratio (Base 2 : 1):** Paying Creditors in cash **improves** CR; Credit purchase of goods **decreases** CR; Cash from Debtors causes **no change**.
- **Debt-Equity Ratio (Base 2 : 1):** Issue of Equity Shares **decreases** D/E; Issue of Debentures **increases** D/E; Debenture conversion to equity **decreases** D/E.

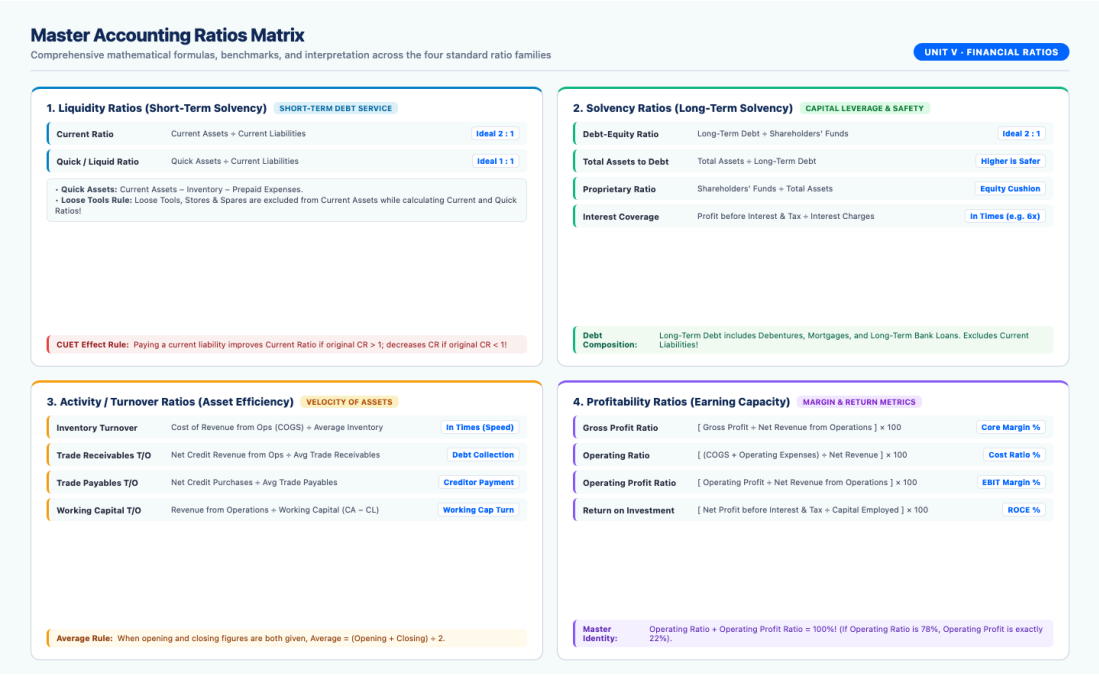


Figure 2: Master Accounting Ratios Matrix: Formulas, benchmarks, and interpretation across the four ratio families.

7. Cash Flow Statement (AS-3 Revised): Core Concepts

A Cash Flow Statement reports historical changes in cash and cash equivalents of an enterprise during a specified financial period, classified into Operating, Investing, and Financing activities.

Definition of Cash and Cash Equivalents

- **Cash:** Comprises cash in hand and demand deposits with banks.
- **Cash Equivalents:** Short-term, highly liquid investments that are readily convertible to known amounts of cash and subject to an insignificant risk of changes in value (maturity period of **three months (90 days) or less** from the date of acquisition, e.g., Treasury Bills, Commercial Papers).

CUET TRAPS: ITEMS EXCLUDED FROM CASH EQUIVALENTS

1. **Bank Overdraft and Cash Credit:** Under AS-3, bank overdrafts and cash credit facilities are repayable on demand and form an integral part of **Financing Activities** (NOT cash equivalents!).
2. **Marketable Securities with Maturity > 3 Months:** Treated as Current Investments, not cash equivalents.
3. **Movements between Cash & Cash Equivalents:** Cash deposited into bank, cash withdrawn from bank, or purchase of Treasury bills represent **management of cash**, NOT cash flows!

8. Cash Flow Statement: Indirect Method Mechanics

Under AS-3 (Revised), the Indirect Method reconciles Net Profit/Loss to Net Cash from Operating Activities by adjusting for non-cash and non-operating transactions.

Step 1: Net Profit Before Tax and Extraordinary Items (NPBT)

```
  Closing Balance of Surplus (Balance in Statement of P&L)
Less: Opening Balance of Surplus
Add:  Transfer to General Reserve / Other Reserves during the year
Add:  Proposed Dividend for the PREVIOUS YEAR (declared & paid in current year)
Add:  Interim Dividend paid during the current year
Add:  Provision for Tax made during the current year
Less: Extraordinary Incomes (e.g., Insurance claims credited to P&L)
Less: Refund of Income Tax received
= Net Profit Before Tax and Extraordinary Items
```

Step 2: Operating Activities Adjustments

- **Add Non-Cash / Non-Operating Expenses:** Depreciation on Fixed Assets, Amortisation of Goodwill/Patents, Loss on Sale of Fixed Assets/Investments, Interest on Borrowings/Debentures.
- **Less Non-Operating Incomes:** Interest Income, Dividend Income, Rental Income, Profit on Sale of Fixed Assets.
- **= Operating Profit Before Working Capital Changes.**
- **Working Capital Adjustments:**
  - Add: Decrease in Current Assets (except Cash & Cash Eq) & Increase in Current Liabilities (except Bank OD/Short-term loans).
  - Less: Increase in Current Assets & Decrease in Current Liabilities.
- **= Cash Generated from Operations.**
- **Less: Income Tax Paid (Net of refund).**
- **= Net Cash Flow from Operating Activities (A).**

Step 3: Investing and Financing Activities

- **Investing Activities (B):**
  - Inflows: Sale of Fixed Assets, Sale of Non-Current Investments, Interest & Dividend Received (for non-financial enterprises).
  - Outflows: Purchase of Fixed Assets (Tangible/Intangible), Purchase of Non-Current Investments.
- **Financing Activities (C):**
  - Inflows: Proceeds from issue of shares/debentures, Long-Term/Short-Term Borrowings taken, Increase in Bank Overdraft/Cash Credit.
  - Outflows: Redemption of Debentures/Preference Shares, Repayment of Loans, Decrease in Bank Overdraft, Payment of Interim/Final Dividend, Payment of Interest on Borrowings.

9. Comprehensive Master Worked Problems

MASTER PROBLEM 1 — COMPREHENSIVE CASH FLOW STATEMENT (AS-3 REVISED)

From the following Balance Sheets of Sunrise Ltd, prepare a Cash Flow Statement:

Particulars	31.3.2025 (₹)	31.3.2024 (₹)
I. Equity and Liabilities:		
1. Shareholders' Funds: Equity Share Capital	7,00,000	5,00,000
Reserves & Surplus (Balance in Statement of P&L)	3,50,000	2,00,000
2. Non-Current Liabilities: 10% Debentures	2,00,000	3,00,000
3. Current Liabilities: Trade Payables	1,20,000	80,000
Provision for Tax	50,000	40,000
Total	**14,20,000**	**11,20,000**
II. Assets:		
1. Non-Current Assets: Plant & Machinery	8,00,000	5,00,000
Accumulated Depreciation	(1,60,000)	(1,00,000)
Non-Current Investments	1,50,000	1,00,000
2. Current Assets: Inventories	3,20,000	2,80,000
Trade Receivables	2,10,000	2,60,000
Cash and Cash Equivalents	1,00,000	80,000
Total	**14,20,000**	**11,20,000**

Additional Information:

1. During the year, machinery costing ₹1,00,000 (accumulated depreciation ₹40,000) was sold for ₹50,000.
2. Tax paid during the year amounted to ₹35,000. Debentures were redeemed on 31st March 2025.
3. Proposed dividend for the year ended 31st March 2024 was ₹50,000; for 31st March 2025 was ₹70,000.

Working Notes & Ledger Accounts:

- **Plant & Machinery Account:** Opening ₹5,00,000 + Purchases (balancing figure: **₹4,00,000**) = Sold ₹1,00,000 + Closing ₹8,00,000.
- **Accumulated Depreciation Account:** Opening ₹1,00,000 + Depreciation for the year (balancing figure: **₹1,00,000**) = Sold ₹40,000 + Closing ₹1,60,000.
- **Loss on Sale of Machinery:** Book Value = ₹1,00,000 − ₹40,000 = ₹60,000. Sold for ₹50,000. Loss = **₹10,000**.
- **Provision for Tax Account:** Opening ₹40,000 + Provision made (balancing figure: **₹45,000**) = Tax Paid ₹35,000 + Closing ₹50,000.
- **Net Profit Before Tax (NPBT):** Difference in Surplus (₹3,50,000 − ₹2,00,000 = ₹1,50,000) + Previous Year Dividend ₹50,000 + Tax Provision Made ₹45,000 = bold("₹2,45,000").

MASTER PROBLEM 1 SOLUTION (CASH FLOW STATEMENT)

Cash Flow Statement of Sunrise Ltd for the year ended 31st March 2025:

A. Cash Flows from Operating Activities:	
Net Profit Before Tax and Extraordinary Items	₹2,45,000
Add: Non-Cash & Non-Operating Charges:	
- Depreciation on Plant & Machinery	₹1,00,000
- Loss on Sale of Machinery	₹10,000
- Interest on 10% Debentures (10% on ₹3,00,000)	₹30,000
Operating Profit Before Working Capital Changes	₹3,85,000
Add: Decrease in Trade Receivables (2,60,000 - 2,10,000)	₹50,000
Add: Increase in Trade Payables (1,20,000 - 80,000)	₹40,000
Less: Increase in Inventories (3,20,000 - 2,80,000)	(₹40,000)
Cash Generated from Operations	₹4,35,000
Less: Income Tax Paid	(₹35,000)
Net Cash Flow from Operating Activities (A)	**(₹4,00,000)**
B. Cash Flows from Investing Activities:	
Proceeds from Sale of Machinery	₹50,000
Purchase of Plant & Machinery	(₹4,00,000)
Purchase of Non-Current Investments (1,50,000 - 1,00,000)	(₹50,000)
Net Cash Used in Investing Activities (B)	**((₹4,00,000))**
C. Cash Flows from Financing Activities:	
Proceeds from Issue of Equity Share Capital (7,00,000 - 5,00,000)	₹2,00,000
Redemption of 10% Debentures (3,00,000 - 2,00,000)	(₹1,00,000)
Payment of Previous Year Proposed Dividend	(₹50,000)
Payment of Interest on Debentures	(₹30,000)
Net Cash Flow from Financing Activities (C)	**(₹20,000)**
Net Increase in Cash & Cash Equivalents (A + B + C)	**(₹20,000)**
Add: Opening Cash & Cash Equivalents (1.4.2024)	₹80,000
Closing Cash & Cash Equivalents (31.3.2025)	**(₹1,00,000)**

MASTER PROBLEM 2 — BALANCE SHEET RECONSTRUCTION VIA ACCOUNTING RATIOS

Data: Working Capital: ₹1,50,000; Current Ratio: 2.5; Quick Ratio: 1.5; Proprietary Ratio: 0.6; Total Debt: ₹4,00,000 (Non-Current Debt ₹3,00,000). Compute Balance Sheet components:

1. **Current Assets & Current Liabilities:** Working Capital = 2.5 − 1 = 1.5 units = ₹1,50,000. Current Liabilities = ₹1,50,000 / 1.5 = **₹1,00,000**. Current Assets = 2.5 × ₹1,00,000 = **₹2,50,000**.
2. **Inventory:** Quick Assets = 1.5 × ₹1,00,000 = ₹1,50,000. Inventory = Current Assets − Quick Assets = ₹2,50,000 − ₹1,50,000 = **₹1,00,000**.
3. **Total Assets & Shareholders' Funds:** Total Debt = Non-Current Debt (₹3,00,000) + Current Liabilities (₹1,00,000) = ₹4,00,000. Since Proprietary Ratio = 0.6, Total Debt represents 40% of Total Assets. Total Assets = ₹4,00,000 / 0.4 = **₹10,00,000**. Shareholders' Funds = 0.6 × ₹10,00,000 = **₹6,00,000**.

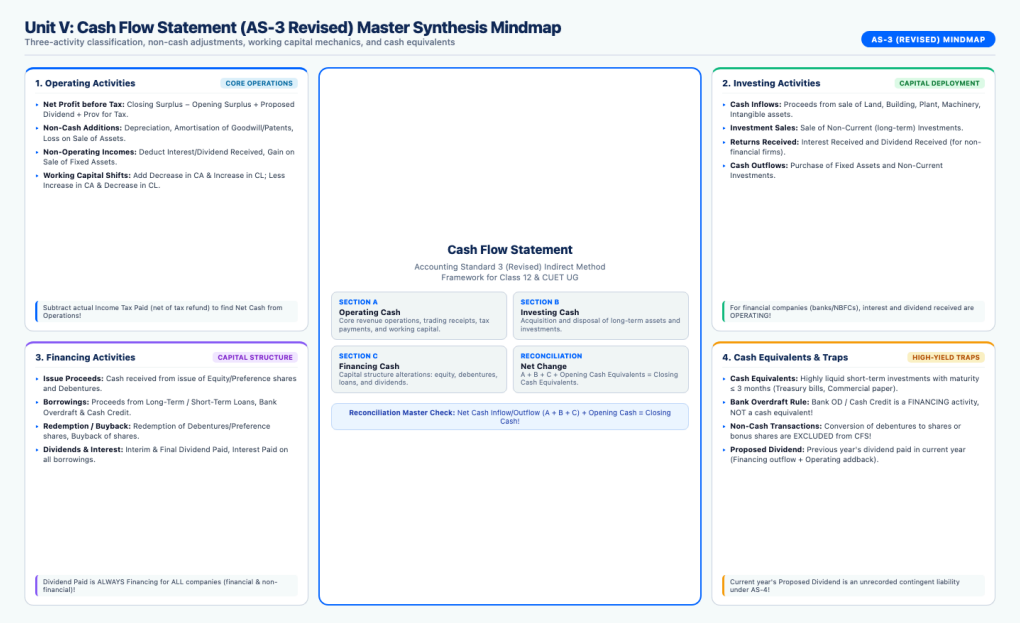


Figure 3: Master Synthesis Mindmap: Structural framework of Unit V Analysis of Financial Statements.

10. Strategic Examination Synthesis

The complete financial statement analysis toolkit links corporate reporting to analytical diagnosis:

1. **Schedule III Compliance:** Correct classification into Major Heads and Sub-Heads is the foundation for all ratio and cash flow computations.
2. **Ratios as Diagnostic Signals:** Liquidity ratios assess imminent solvency (2 : 1 and 1 : 1 benchmarks); Solvency ratios evaluate capital structure leverage (2 : 1 benchmark); Activity ratios track asset turnover velocity; Profitability ratios measure return on investment (ROCE) and operational efficiency.
3. **Cash Flow Reality Check:** While the Income Statement reports accrual-based profitability, the Cash Flow Statement reveals true liquidity generated across Operating, Investing, and Financing activities.

MASTER FINANCIAL ANALYSIS REVISION CHEATSHEET

- **Schedule III Major Heads:** Equity: Shareholders' Funds, Non-Current Liab, Current Liab | Assets: Non-Current Assets, Current Assets.
- **Common-Size Bases:** Balance Sheet = **Total Assets (100%)** | Income Statement = **Revenue from Operations (100%)**.
- **Liquidity Benchmarks:** Current Ratio = CA ÷ CL (Ideal 2 : 1) | Quick Ratio = Quick Assets ÷ CL (Ideal 1 : 1).
- **Quick Assets:** Current Assets − Inventory − Prepaid Expenses. Exclude Loose Tools from both CA and QA!
- **Solvency Benchmarks:** Debt-Equity = Debt ÷ Equity (Ideal 2 : 1) | Proprietary Ratio = Equity ÷ Total Assets.
- **Golden Identity:** `Operating Ratio + Operating Profit Ratio = 100%`.
- **ROCE / ROI:** `(EBIT ÷ Capital Employed) × 100` | Capital Employed = Shareholders' Funds + Long-Term Debt.
- **AS-3 Cash Equivalents:** Highly liquid investments maturing in ≤ 3 months. Excludes Bank Overdraft!
- **Bank Overdraft / Cash Credit:** Classified strictly as a **Financing Activity** under AS-3.
- **Proposed Dividend:** Previous year's dividend paid in current year (Financing Outflow + Operating Addback).

TOP 7 HIGH-FREQUENCY CUET TRAPS IN FINANCIAL STATEMENT ANALYSIS

1. **Common-Size Income Base:** Base is strictly **Revenue from Operations (Net Sales)**, never Total Revenue!
2. **Loose Tools Trap:** Loose tools belong to Balance Sheet Inventory, but are EXCLUDED from CA in ratio analysis.
3. **Operating vs Operating Profit:** Operating Ratio is a cost ratio; Operating Ratio + Operating Profit Ratio = 100%!
4. **Bank Overdraft Classification:** Bank Overdraft & Cash Credit are **Financing Activities**, never cash equivalents!
5. **Proposed Dividend AS-4 Rule:** Current year proposed dividend is an unrecorded contingent liability; ignore it!
6. **Trade Receivables Provision:** Compute Debtors Turnover using **Gross Debtors** before deducting Provision.
7. **Debenture Interest Flow:** Interest is added back to Net Profit in Operating AND deducted as a Financing outflow!

CUET UG Exam-Style Practice Questions

Q1. Under Schedule III Part I of the Companies Act, 2013, 'Calls-in-Advance' is disclosed under which of the following heads?

(A) Share Capital (B) Other Current Liabilities
(C) Current Provisions (D) Other Long-Term Liabilities

Sol. Q1. Calls-in-Advance represents money received before a formal call is made and is classified under **Current Liabilities** under the sub-head **Other Current Liabilities**.

Answer: (B)

Q2. Which of the following items is EXCLUDED from Current Assets while computing the Quick Ratio of a company?

(A) Trade Receivables (B) Cash and Cash Equivalents
(C) Inventories and Prepaid Expenses (D) Short-Term Marketable Investments

Sol. Q2. Quick Assets = Current Assets − Inventories − Prepaid Expenses. Inventories cannot be instantly converted to cash without price concessions, and prepaid expenses cannot be converted to cash.

Answer: (C)

Q3. If a company's Operating Ratio is 78%, what is its Operating Profit Ratio?

(A) 22% (B) 78%
(C) 12% (D) Cannot be determined

Sol. Q3. By the fundamental identity of financial statement analysis: Operating Ratio + Operating Profit Ratio = 100%. Therefore, Operating Profit Ratio = 100% − 78% = **22%**.

Answer: (A)

Q4. The Current Ratio of a enterprise is 2.5 : 1. Which of the following transactions will IMPROVE the Current Ratio?

(A) Purchasing goods of ₹20,000 on credit (B) Paying a trade creditor ₹30,000 in cash
(C) Selling goods costing ₹10,000 for ₹10,000 cash (D) Purchasing machinery of ₹50,000 for cash

Sol. Q4. When original CR > 1, an equal decrease in both numerator (CA) and denominator (CL) increases the ratio. For example: $\frac{2,50,000-30,000}{1,00,000-30,000} = 2,20, \frac{000}{70}, 000 =$ **3.14 : 1**.

Answer: (B)

Q5. In a Common-Size Statement of Profit and Loss, what is taken as the common base (100%)?

(A) Total Revenue (B) Gross Profit
(C) Revenue from Operations (Net Sales) (D) Profit Before Tax

Sol. Q5. In vertical common-size income statement analysis, each item of expense, other income, and profit is expressed as a percentage of **Revenue from Operations (Net Sales)**.

Answer: (C)

Q6. Cost of Revenue from Operations is ₹6,00,000; Opening Inventory is ₹1,40,000; Closing Inventory is ₹1,00,000. What is the Inventory Turnover Ratio?

(A) 4 times (B) 5 times
(C) 6 times (D) 4.5 times

Sol. Q6. Average Inventory $= \frac{1,40,000+1,00,000}{2} = ₹1,20,000$. ITR $= \frac{\text{COGS}}{\text{Avg Inventory}} = 6,00,\frac{000}{1},20,000 =$ **5 times**.

Answer: (B)

Q7. A company has a Debt-Equity Ratio of 2 : 1. Which of the following transactions will DECREASE the Debt-Equity Ratio?

(A) Issue of 10% Debentures of ₹1,00,000 for cash (B) Issue of Equity Shares of ₹2,00,000 for cash
(C) Purchasing goods on credit of ₹50,000 (D) Redemption of preference shares at par

Sol. Q7. Issuing equity shares increases Shareholders' Funds (the denominator) without changing Long-Term Debt, thereby reducing the Debt-Equity Ratio.

Answer: (B)

Q8. Under AS-3 (Revised), how is an increase in 'Bank Overdraft' classified in the Cash Flow Statement?

(A) Cash and Cash Equivalent Inflow (B) Cash Inflow from Operating Activities
(C) Cash Inflow from Financing Activities (D) Cash Inflow from Investing Activities

Sol. Q8. Bank Overdraft and Cash Credit are short-term borrowings that provide debt financing. Under AS-3, their proceeds and repayments are classified strictly as **Financing Activities**.

Answer: (C)

Q9. Net Profit Before Tax of a company is ₹3,00,000. Depreciation is ₹40,000; Loss on sale of plant is ₹10,000; Trade Receivables increased by ₹30,000; Trade Payables increased by ₹20,000. Cash from operations before tax is:

(A) ₹3,40,000 (B) ₹3,20,000
(C) ₹3,60,000 (D) ₹3,00,000

Sol. Q9. Operating Profit before WC $= 3,00,000 + 40,000 + 10,000 = ₹3,50,000$. Working capital changes: Increase in TR (−₹30,000) + Increase in TP (+₹20,000) = −₹10,000. Cash from operations $= 3,50,000 - 10,000 =$ **₹3,40,000**.

Answer: (A)

Q10. Which of the following is a NON-CASH transaction that is EXCLUDED from the Cash Flow Statement?

(A) Purchase of machinery by issuing equity shares (B) Sale of investments for cash
(C) Redemption of debentures for cash (D) Payment of interim dividend to shareholders

Sol. Q10. Purchasing machinery by issuing shares involves no movement of cash or cash equivalents. Under AS-3, non-cash investing and financing transactions are excluded from the Cash Flow Statement.

Answer: (A)

Q11. Total Sales of a firm are ₹8,00,000 (including cash sales of ₹1,60,000). Sales returns are ₹40,000. Trade Receivables stand at ₹1,00,000. What is the Trade Receivables Turnover Ratio?

(A) 6 times **(B)** 7.6 times
(C) 8 times **(D)** 6.4 times

Sol. Q11. Net Credit Sales = Total Sales (₹8,00,000) − Cash Sales (₹1,60,000) − Returns (₹40,000) = ₹6,00,000. TRTR = $6,00,\frac{000}{1},00,000$ = **6 times**.

Answer: (A)

Q12. Under Schedule III, where is 'Premium on Redemption of Debentures' disclosed in the Balance Sheet?

(A) Reserves and Surplus **(B)** Other Long-Term Liabilities
(C) Other Current Liabilities **(D)** Long-Term Provisions

Sol. Q12. Premium payable on redemption of debentures is a contractual non-current liability payable on maturity and is disclosed under **Non-Current Liabilities** as **Other Long-Term Liabilities**.

Answer: (B)

Q13. A company has Capital Employed of ₹10,00,000. Its Net Profit After Tax (@ 40%) is ₹1,20,000. 12% Debentures amount to ₹2,00,000. What is the Return on Capital Employed (ROCE)?

(A) 22.4% **(B)** 20.0%
(C) 14.4% **(D)** 24.0%

Sol. Q13. PBT = 1,20,000 / (1 − 0.40) = ₹2,00,000. Interest = 12% × ₹2,00,000 = ₹24,000. EBIT = ₹2,00,000 + ₹24,000 = ₹2,24,000. ROCE = (2,24,000 / 10,00,000) × 100 = **22.4%**.

Answer: (A)

Q14. How is 'Dividend Paid' by a financial enterprise (e.g., a banking company or NBFC) classified under AS-3?

(A) Operating Activity **(B)** Investing Activity
(C) Financing Activity **(D)** Cash Equivalent

Sol. Q14. Dividend paid is ALWAYS a **Financing Activity** for ALL enterprises, whether financial or non-financial, because it is a distribution of return on capital supplied by equity shareholders.

Answer: (C)

Q15. Which of the following is considered an inherent LIMITATION of financial statement analysis?

(A) It measures past performance accurately **(B)** It ignores qualitative elements and price level changes
(C) It helps banks evaluate debt service capability **(D)** It assists management in preparing operational budgets

Sol. Q15. Financial statement analysis relies on historical costs and ignores price-level changes (inflation) and crucial qualitative factors like employee skills and brand value.

Answer: (B)